HOW TO TRADE ?

There is a possibility that even after the formation of a Doji, the bulls may come back stronger and get the hold of the market. So, to participate in a trade, one should make an entrance if the price in the next period opens lower than the close of the previous period. The analyst can short the same i.e. benefit when the price goes down. One also needs to fix a stop loss. The stop loss can be the high of the previous day and if the asset price goes above that, we will square off the trade with a loss. The stop loss is pre-determined and it is the level beyond which we are not ready to accept losses. If the price breaches that level, we will accept the loss, square the position (exit the position) and move forward.

We can use the same when a Doji is formed in a market during a downtrend. Such a scenario shows that for the time being, bulls have regained some power over the market. If they make a comeback a reverse trend is started.

Traders can combine the same with multiple other indicators and oscillators as we will see going ahead and create a strategy for the same. They need to fix an entry price, exit price and a stop loss for each strategy. They will need to fix an entry and exit strategy for each of the candlestick patterns. Also, one cannot act simply every time a signal is generated. Selective trades have to be entered which meet all the pre-determined conditions and we have conviction. There are two kinds of Doji – Bearish Doji (Doji formed after an uptrend to signal reversal) and Bullish Doji (Doji formed after a downtrend to signal a reversal.) Let us see examples for both these.